IP-1991 Abolished the Rapacious Licencing Regime

The havoc that industrial licencing policies instituted in the 1950s–1970s created became apparent in the 1970s and 1980s. While some liberalization measures were initiated in the 1980s, IP-1991 pushed out the rapacious licencing regime.

It noted correctly that Indian entrepreneurs needed to be actively encouraged to exploit and meet emerging domestic and global opportunities and challenges. It was necessary to ‘let the entrepreneurs make investment decisions on the basis of their own commercial judgement’. ‘The attainment of technological dynamism and international competitiveness requires that enterprises must be enabled to swiftly respond to fast changing external conditions that have become characteristic of the industrial world’. The policy statement rightly argued that the role played by the government had to be ‘changed from that of only exercising control to one of providing help and guidance by making essential procedures fully transparent and eliminating delays’.

The statement in the matter of abolishing the licencing regime was unequivocal. It said, ‘Industrial policy will henceforth be abolished for all industries, except those specified, irrespective of levels of investment.’ Annexure II specified eighteen industries for which compulsory licencing was continued; the list included major industries like coal and lignite, petroleum, alcoholic drinks, sugar, motor cars, drugs, paper and newsprint.

IP-1991 started the process of unravelling licencing policies. Over the years, most compulsory industrial licencing has gone. Only four items currently require industrial licence, that too more for safety reasons considering the nature of these industries: cigars and cigarettes; electronic aerospace and defence equipment; industrial explosives and three specified hazardous chemicals.

Indeed, Indian industry is breathing free since 1991.